

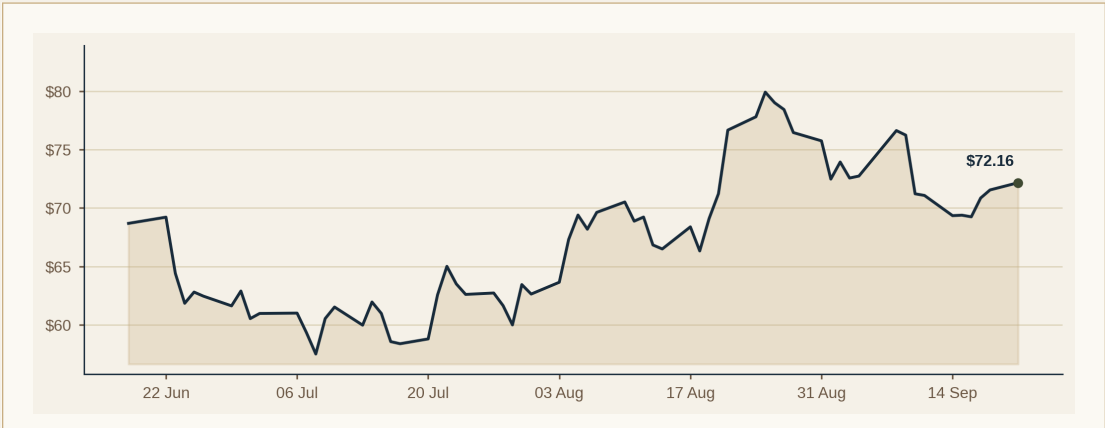
# Freeport-McMoRan

## Freeport-McMoRan Inc.

NYSE : FCX · United States · Copper, Gold and Molybdenum Mining

\$72.16

Closing price, 21 September 2026 · Market capitalisation approximately \$103.6 billion



FCX share price, three months to 21 September 2026, daily close. Source: Alpha Vantage market data.

# Executive Summary

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Freeport-McMoRan Inc. is one of the world's largest publicly traded copper producers, operating long-lived mines in Indonesia, the United States, Peru and Chile. Its economics are set by ore grades, by-product gold and molybdenum credits, and the global copper price, and are presently distorted by a major operational disruption at its flagship Grasberg complex.

## Business

Freeport mines and processes copper concentrate and cathode, with gold and molybdenum as material by-products, from three geographic segments: North America (Arizona, New Mexico), South America (Cerro Verde, Peru; El Abra, Chile) and Indonesia (the Grasberg minerals district). **SOURCED**. Approximately three-quarters of revenue is copper, with gold and molybdenum making up the balance in a normalised production year. **REASONED**.

Customers are smelters, refiners and traders under annually and multi-year negotiated concentrate contracts, plus refined cathode sold into industrial and construction end markets across Asia, the Americas and Europe. **SOURCED**.

## Financial Condition

Revenue was \$25.9 billion in fiscal 2025, essentially flat with 2024's \$25.5 billion, after a multi-year plateau near \$22.8 billion in 2021-2023. Operating income was \$6.5 billion in 2025 and net income attributable to common stockholders was \$2.2 billion, or \$1.52 per diluted share. **SOURCED**.

Operating cash flow was \$5.6 billion and free cash flow \$1.1 billion in 2025 after \$4.5 billion of capital expenditure; net debt, calculated as total debt less cash, stood at approximately \$5.6 billion at year-end 2025, roughly 0.6 times trailing EBITDA. **CALCULATED**.

## Market Position

Freeport's most relevant listed peers are Southern Copper Corporation, BHP Group, Rio Tinto and, among diversified miners with copper exposure, Glencore and Teck Resources; state-owned Codelco is the largest single producer but is not listed. **SOURCED**.

Freeport's principal advantage is the scale and grade of its reserve base, in particular Grasberg, one of the largest copper-gold deposits ever discovered; its principal weakness is geographic and political concentration in a single Indonesian asset that generates a disproportionate share of consolidated cash flow. **REASONED**.

## Valuation

At the 21 September 2026 close, Freeport's market capitalisation was approximately \$103.6 billion, against trailing twelve-month EBITDA of \$9.6 billion and trailing EPS of \$2.04, implying a trailing price-to-earnings ratio near 35 times and an EV-to-EBITDA multiple near 11.8 times. **SOURCED (ALPHA VANTAGE)**. Consensus forward P/E is approximately 17.9 times, reflecting analyst expectations of a sharp earnings recovery as Grasberg output normalises through 2027-2029. **SOURCED**.

## Investment Framework

|                               |                                                                                                                                                                                                  |
|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>ATTRACTIVE</b>             | Irreplaceable, very large copper-gold reserve base; direct leverage to a structurally tightening copper market; visible multi-year production recovery already contracted into the mine plan.    |
| <b>CONCERNING</b>             | Heavy dependence on a single Indonesian asset; rising net debt and idle-facility costs from the 2025 Grasberg incident; further government stake dilution in PT Freeport Indonesia.              |
| <b>MUST GO RIGHT</b>          | A clean, on-schedule Grasberg Block Cave ramp-up through 2026-2027 without further safety incidents, and continued firm copper and gold prices.                                                  |
| <b>COULD BREAK THE THESIS</b> | A further geotechnical event at Grasberg, a sustained copper price correction, or adverse changes to Indonesian fiscal or ownership terms.                                                       |
| <b>PRICED IN</b>              | The current multiple already embeds a substantial rebound in Grasberg volumes and continued elevated copper and gold prices through 2027-2029; it does not appear to assume a second disruption. |

## Investment Profile

| Dimension                    | Assessment                                                                                                           |
|------------------------------|----------------------------------------------------------------------------------------------------------------------|
| Business quality             | High reserve quality, moderate operating quality given single-asset concentration                                    |
| Financial quality            | Adequate; leverage has risen but remains moderate relative to asset base                                             |
| Competitive position         | Strong on resource scale; average on cost position versus lowest-cost South American peers                           |
| Growth profile               | Volume recovery-driven through 2027-2029 rather than new-project driven                                              |
| Balance-sheet risk           | Moderate and rising, linked to Grasberg restart capital and idle costs                                               |
| Valuation                    | Trailing multiples elevated on depressed near-term earnings; forward multiples closer to historical mid-cycle levels |
| Market and technical profile | High beta, high realised volatility, positive medium-term price trend since the April 2026 low                       |

This table is a qualitative synthesis by the analyst and does not constitute a rating or recommendation.

## A. About the Business

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### A1. Business Environment

Copper mining sits at the base of the global metals value chain: ore is mined, concentrated at or near the mine site, smelted into blister or anode copper, and refined into cathode, which is the deliverable form traded on the London Metal Exchange and COMEX. Refined copper and copper concentrate are consumed principally by wire and cable producers, construction, electrical equipment manufacturers, and, increasingly, data-centre and grid infrastructure builders and electric-vehicle supply chains. **REASONED.**

Global mined copper supply is concentrated in a small number of very large ore bodies, most located in Chile, Peru, the Democratic Republic of Congo and Indonesia, and the industry is capital-intensive, with new mine development typically requiring a decade or more from discovery to first production. **REASONED.** Gold and molybdenum are produced as by-products of copper ore at several of Freeport's mines, which materially affects unit-cost economics because by-product credits are netted against copper cash costs. **SOURCED.**

Public commentary through 2026 has pointed to a structurally tightening copper market, citing accelerating demand from electrification, grid build-out and AI-related data-centre capacity, against a supply base with few large new mines in development and rising average ore grades decline at existing operations. **SOURCED; MARKET COMMENTARY, NOT A VERIFIED PHYSICAL BALANCE.**

The industry is capital intensive, cyclical with the broader industrial and construction cycle, and subject to meaningful sovereign and regulatory risk given that the largest ore bodies sit in a small number of resource-nationalist jurisdictions. **REASONED.** Based on the balance of elevated prices, constrained new supply and rising strategic demand, the industry is best classified as **mature and cyclical, presently in a structurally tightening phase**, rather than emerging, declining or purely speculative. **REASONED.**

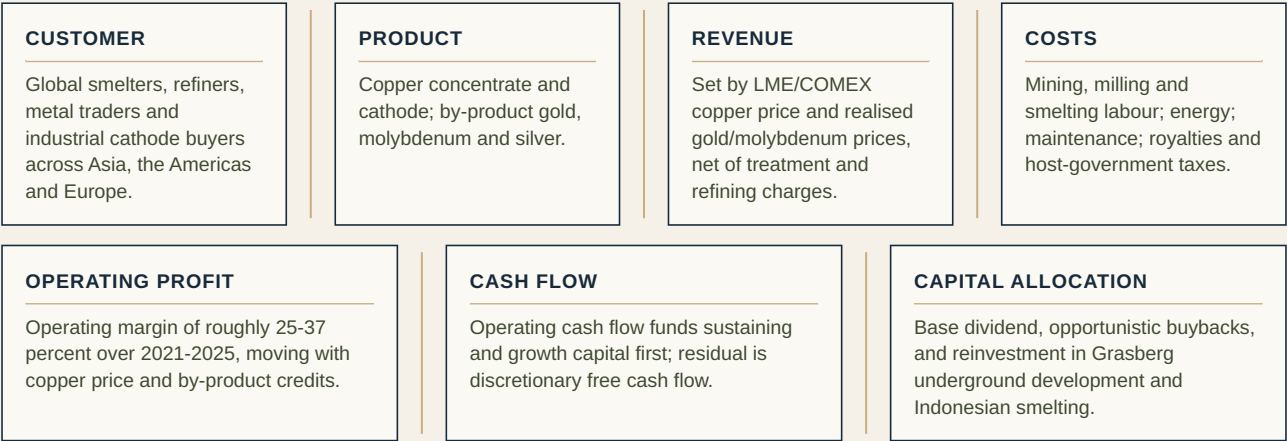
### A2. What Does the Company Do?

Freeport-McMoRan mines, processes and markets copper concentrate and copper cathode, with gold and molybdenum as significant by-products and silver as a minor one. **SOURCED.** Operations are organised into three geographic segments: North America (Morenci and other mines in Arizona, plus operations in New Mexico), South America (Cerro Verde in Peru and El Abra in Chile), and Indonesia (the Grasberg minerals district, operated through majority-Indonesian-government-owned subsidiary PT Freeport Indonesia, PT-FI). **SOURCED.**

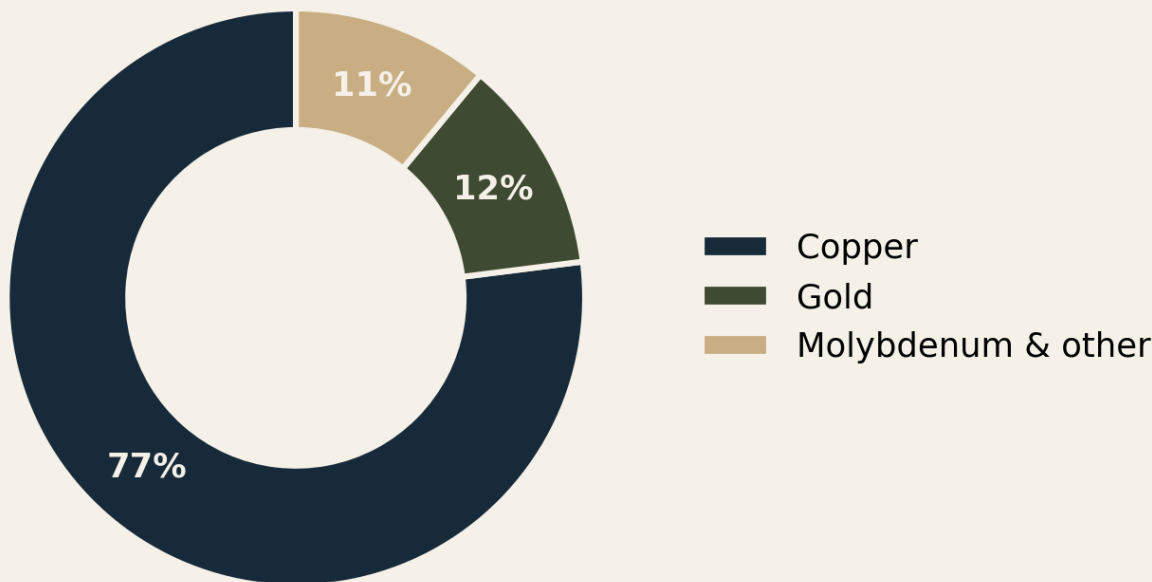
Revenue is earned through sale of concentrate to third-party and Freeport-affiliated smelters (including PT-FI's own Manyar smelter complex in Indonesia) and through direct sale of refined cathode. **SOURCED.** Pricing is set with reference to LME and COMEX copper prices, with treatment and refining charges deducted for concentrate sales, and with separate gold and molybdenum pricing terms for by-product streams. **REASONED.** Most tonnage is non-discretionary, repeat industrial demand rather than project-based or one-off sales, giving the revenue base a recurring character even though price, not volume, drives most of the year-to-year swing in revenue. **REASONED.**

Major operating costs are mining and milling labour, energy (diesel and electricity for haulage, milling and smelting), maintenance of fixed plant, and royalties and taxes payable to host governments, particularly Indonesia. **REASONED.** Capital requirements are large and continuous: sustaining capital to maintain haulage fleets, mills and tailings infrastructure, and growth capital for underground block-cave development at Grasberg and smelter infrastructure in Indonesia. **REASONED.**

How a dollar flows through the business



Estimated FY2026 revenue mix by metal



Analyst estimate built from FY2026 sales-volume guidance (copper approximately 3.06 billion pounds, gold 654 thousand ounces, molybdenum 93 million pounds) at prices realised through the first half of 2026. Source: company guidance and analyst calculation. REASONED / CALCULATED, NOT A REPORTED SEGMENT DISCLOSURE.

A3. Business and Relationship Network

PT Freeport Indonesia is the operating subsidiary for the Grasberg minerals district and is majority owned by the Indonesian state through mining holding company MIND ID, which held 51.23 percent as of the 2025-2026 disclosures reviewed for this report; Freeport-McMoRan holds the balance of the economic interest and retains operating control under its Special Mining Business Licence (IUPK). SOURCED. In 2025-2026 Freeport agreed to divest a further 12 percentage points of PT-FI to the Indonesian state at no cost, in exchange for an extension of mining rights and continued smelter-related commitments, which would raise total Indonesian government ownership of PT-FI to more than 63 percent once completed. SOURCED.

Key relationships include: the Government of Indonesia and MIND ID as majority owner and regulator of PT-FI; PT Smelting and the newly built Manyar smelter and refinery complex in East Java as the principal domestic downstream outlet for Grasberg concentrate; global trading houses and Asian smelters as offtake counterparties for North and South American production; and equipment and engineering contractors supporting the Grasberg Block Cave underground development. SOURCED / REASONED.

### Upstream and structural relationships

- Government of Indonesia / MIND ID -- majority owner of PT-FI, sets fiscal and licensing terms
- Equipment, engineering and underground-mining contractors supporting Grasberg Block Cave
- Energy suppliers for smelting and haulage operations

### Downstream and market relationships

- PT Smelting / Manyar smelter complex -- primary domestic offtake for Indonesian concentrate
- Global trading houses and Asian, European and American smelters
- Industrial and construction end-users of refined cathode

Each relationship matters economically because Freeport does not sell a differentiated product: its competitive position rests on the cost and scale of its ore bodies and on the terms under which it is permitted to mine them, making the Indonesian government relationship the single most consequential counterparty relationship in the business. REASONED.

## A4. Competition

Freeport does not compete for end customers in a branded sense -- copper is a fungible commodity -- but it competes for capital, development-stage ore bodies, offtake relationships and, indirectly, market share on the cost curve against other large diversified and pure-play miners. REASONED.

#### SELECTED COMPETITIVE COMPARISON

| Company                | Market cap       | Primary exposure                                       | Relative position versus FCX                                                               |
|------------------------|------------------|--------------------------------------------------------|--------------------------------------------------------------------------------------------|
| Freeport-McMoRan (FCX) | \$103.6bn        | Copper, gold, molybdenum -- Indonesia, US, Peru, Chile | Large scale, currently below normalised output on Grasberg disruption                      |
| Southern Copper (SCCO) | \$167.2bn        | Copper -- Peru, Mexico                                 | Lower geopolitical concentration risk profile, premium valuation, lower growth optionality |
| BHP Group (BHP)        | \$221.7bn        | Iron ore, copper, potash -- Australia, Chile, Peru     | Far more diversified by commodity; copper is a minority of BHP earnings                    |
| Rio Tinto (RIO)        | \$165.2bn        | Iron ore, aluminium, copper, lithium                   | Diversified; copper growth optionality concentrated in Mongolia (Oyu Tolgoi) and Chile     |
| Glencore (GLEN)        | n/a <sup>1</sup> | Copper, coal, zinc; large trading arm                  | Hybrid miner-trader model, materially different earnings mix from FCX                      |
| Codelco (state-owned)  | Not listed       | Copper -- Chile                                        | World's largest copper producer by volume; not investable                                  |

1. Not sized in comparable USD terms from sources reviewed for this report; excluded from the quantitative peer set in Section B3. Market capitalisation figures as of 21 September 2026 close.

Southern Copper, BHP and Rio Tinto were selected as the primary quantitative peer set because each derives a meaningful share of earnings from large-scale copper mining and competes with Freeport for capital and, in South America, for the same

labour and contractor markets; companies sharing only a GICS materials classification without comparable copper exposure were excluded. **REASONED.**

## A5. Competitive Differences

### Advantages

- Grasberg is one of the largest copper-gold ore bodies ever discovered, providing scale and by-product gold credits that lower net copper cash costs
- Long operating history and permitted, built infrastructure at all major sites, reducing execution risk relative to greenfield development
- Domestic Indonesian smelting capacity (Manyar) reduces exposure to third-party treatment and refining charges and supports licence renewal
- Diversified geographic footprint across Indonesia, the United States, Peru and Chile

### Disadvantages

- Single-asset concentration: Grasberg has historically generated a disproportionate share of consolidated cash flow, so a single incident materially impairs group results
- No control over copper price, the dominant swing factor in profitability
- Minority economic ownership of PT-FI, with government ownership rising further, structurally caps Freeport's share of Indonesian cash flow
- High and rising capital intensity, particularly for underground block-cave development, which carries geotechnical risk

Freeport's advantages are largely **structural** -- resource quality and built infrastructure cannot be easily replicated -- while its Indonesian ownership terms are subject to periodic renegotiation and are better characterised as a **structural constraint that can worsen at the margin** rather than a temporary condition. **REASONED.** On balance, the moat is assessed as **Moderate**: resource scale and sunk infrastructure provide real cost and scale advantages, but Freeport is a price-taker on its core product and does not control its most important host-government relationship. **REASONED.**

## A6. Industry Trend

Global refined copper demand has grown steadily with electrification, grid investment and, more recently, data-centre and AI-infrastructure build-out, while new large-scale mine supply has been limited by permitting timelines, declining ore grades at legacy mines, and geopolitical constraints in top-producing jurisdictions. **SOURCED; INDUSTRY COMMENTARY.** Public analyst and industry commentary through 2026 points to a widening structural deficit and has been associated with copper prices reaching multi-year highs during the year. **SOURCED; FORWARD-LOOKING COMMENTARY, NOT VERIFIED BY THE ANALYST.**

The industry is properly classified as **mature and consolidating, in a cyclical upswing driven by structural demand tailwinds**, rather than emerging or in secular decline. **REASONED.** A trend reversal could occur through a global industrial slowdown that curtails demand, a sustained substitution effect (aluminium for copper in select applications), or faster-than-expected new supply from projects in Africa, South America or recycling capacity. **REASONED.**

## A7. Management

Kathleen L. Quirk was named President and Chief Executive Officer of Freeport-McMoRan, having previously served for an extended period as Chief Financial Officer, Executive Vice President and Treasurer, and having been closely involved in the company's capital allocation, Indonesian negotiations and balance-sheet management over that period. **SOURCED.** The leadership transition was structured and telegraphed by the company rather than abrupt, with continuity in financial strategy as the explicit intent. **SOURCED.**

Capital allocation history shows a pattern of prioritising balance-sheet strength and a sustainable base dividend, with share repurchases used opportunistically rather than programmatically -- buybacks were largest in 2022 (\$1.4 billion) when the balance sheet was least levered, and have been curtailed since 2023 as net debt has risen with Grasberg capital needs and idle-facility costs. **CALCULATED FROM CASH-FLOW DATA.** The dividend has been held near \$0.60 per share (a \$0.15 quarterly base rate) through the disruption, evidencing a preference for maintaining a steady base distribution over sizing it to current-year earnings. **SOURCED.**

Insider ownership is modest in percentage terms (institutional ownership was approximately 89 percent of shares outstanding as of the most recent disclosure reviewed), which is typical for a large-capitalisation, index-held mining company, and management incentive structures have historically been tied to production, cost and safety metrics in addition to financial results. **SOURCED / REASONED.** The 2025 Grasberg fatalities and subsequent force majeure represent the most significant test of management's operational and safety execution in this period, and the credibility of the 2026-2027 ramp-up guidance is the key near-term indicator of management execution quality. **REASONED.**

## B. Evaluation

### B1. Financial and Operating Metrics

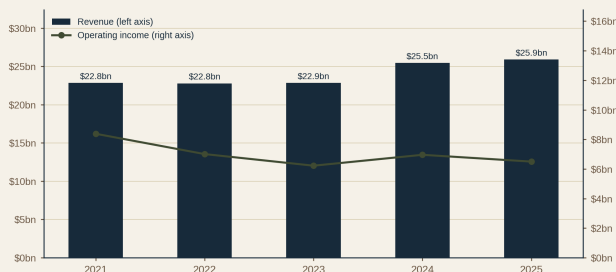
The metrics below are drawn from reported income-statement, balance-sheet and cash-flow figures for fiscal years 2021-2025, sourced from company-reported financial statements as aggregated by Alpha Vantage and stockanalysis.com. Net debt, EBITDA (2024-2025 and trailing twelve months) and derived ratios are calculated by the analyst as noted. SOURCED / CALCULATED.

PROFITABILITY, 2021-2025

| Metric           | 2021   | 2022   | 2023   | 2024   | 2025   |
|------------------|--------|--------|--------|--------|--------|
| Revenue (\$m)    | 22,845 | 22,780 | 22,855 | 25,455 | 25,915 |
| Gross margin     | 47.7%  | 42.6%  | 40.7%  | 39.6%  | 37.1%  |
| Operating margin | 36.7%  | 30.8%  | 27.2%  | 27.4%  | 25.1%  |
| Net margin       | 18.8%  | 15.2%  | 8.1%   | 7.4%   | 8.5%   |
| Diluted EPS (\$) | 2.90   | 2.39   | 1.28   | 1.30   | 1.52   |

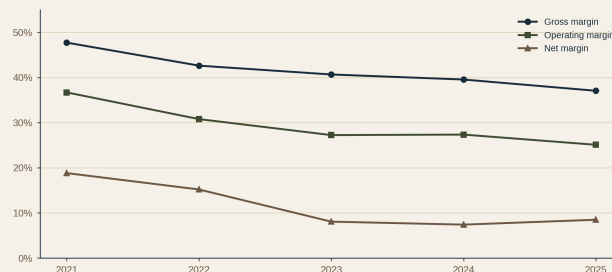
Source: company-reported financial statements. Net income declined from 2021-2022 to 2023-2025 despite broadly stable revenue, reflecting margin compression from higher unit costs, idle-facility charges and rising depreciation on a larger asset base.

Revenue and operating income, 2021-2025



Source: company-reported financial statements.

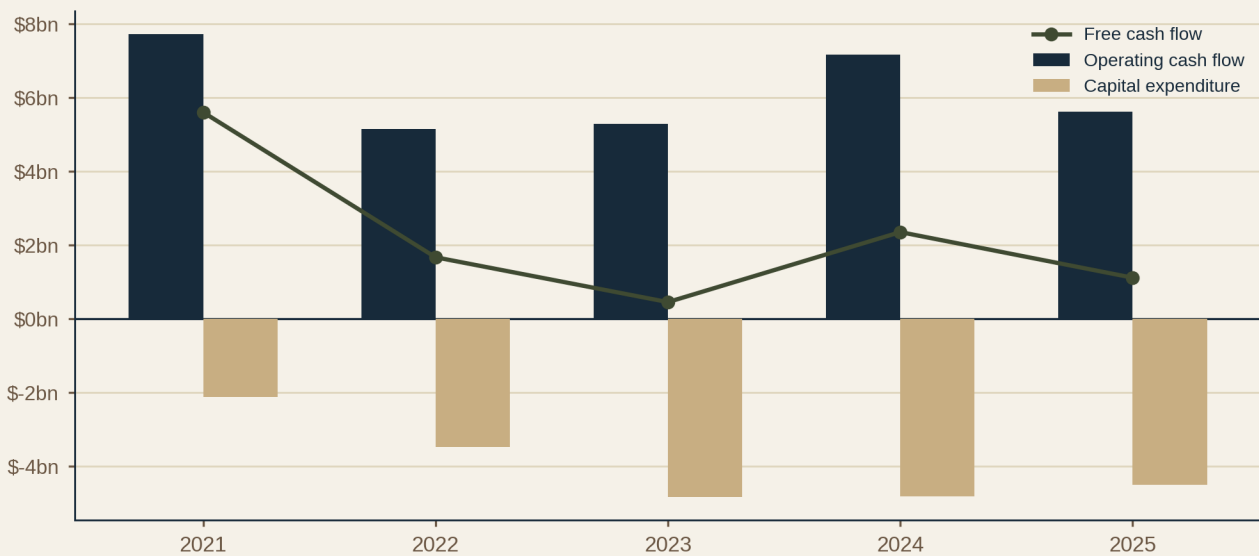
Margin trend, 2021-2025



Gross, operating and net margin. Source: company-reported financial statements.

Trailing twelve-month EBITDA was \$9.6 billion and trailing return on equity was 14.8 percent, against a trailing return on assets of 7.6 percent, indicating moderate balance-sheet leverage amplifies equity returns relative to asset returns. SOURCED (ALPHA VANTAGE). Return on invested capital is not separately disclosed and has not been calculated here given the complexity of normalising invested capital through the Grasberg disruption; it is marked not retrieved rather than estimated. NOT RETRIEVED.

## Cash flow and capital intensity



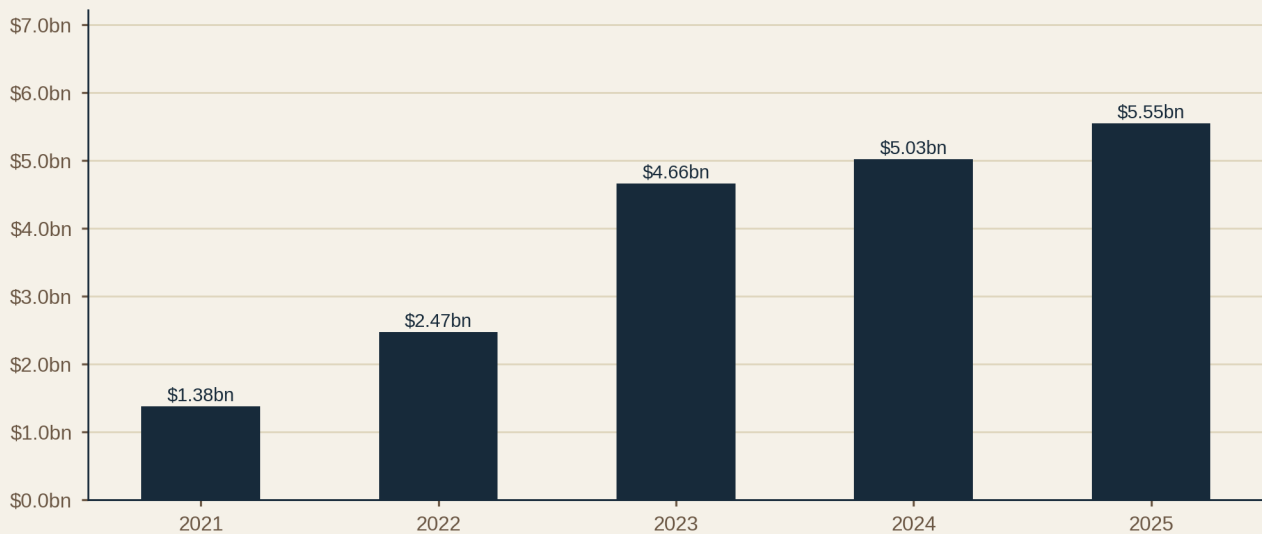
Operating cash flow, capital expenditure and resulting free cash flow, 2021-2025. Source: company-reported cash-flow statements.

### CASH FLOW AND LEVERAGE, 2021-2025

| Metric                     | 2021  | 2022  | 2023  | 2024  | 2025  |
|----------------------------|-------|-------|-------|-------|-------|
| Operating cash flow (\$m)  | 7,715 | 5,139 | 5,279 | 7,160 | 5,610 |
| Capital expenditure (\$m)  | 2,115 | 3,469 | 4,824 | 4,808 | 4,494 |
| Free cash flow (\$m)       | 5,600 | 1,670 | 455   | 2,352 | 1,116 |
| FCF margin                 | 24.5% | 7.3%  | 2.0%  | 9.2%  | 4.3%  |
| Net debt, calculated (\$m) | 1,382 | 2,474 | 4,664 | 5,025 | 5,555 |

Free cash flow = operating cash flow less capital expenditure, calculated by the analyst. Net debt = total debt (current and long-term) less cash and equivalents, calculated by the analyst from reported balance-sheet figures; this differs from figures appearing in some third-party data aggregations and is shown here on a consistent, fully disclosed basis.

Capital intensity has risen sharply, from \$2.1 billion of capex in 2021 to a run-rate near \$4.3-4.8 billion in 2023-2026, driven by Grasberg underground development and Indonesian smelter construction; this has compressed free cash flow even in years of stable or growing revenue, and is the primary driver of rising net debt. **CALCULATED / REASONED**. 2026 full-year guidance calls for operating cash flow of approximately \$8.3 billion against capital expenditure of approximately \$4.3 billion and idle-facility costs of approximately \$1.2 billion tied to the Grasberg restart. **SOURCED, COMPANY GUIDANCE**.

**Net debt, calculated, 2021-2025**

Total debt less cash and equivalents, calculated by the analyst from reported balance-sheet figures.

## B2. Risks

### STRUCTURED RISK ASSESSMENT

| Category      | Risk                                                                                                                                | Probability      | Impact           |
|---------------|-------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
| Business      | Concentration of cash flow in the single Grasberg asset and its underground block-cave workings                                     | High             | High             |
| Business      | Further geotechnical or safety incident during Grasberg Block Cave ramp-up                                                          | Moderate         | High             |
| Financial     | Rising net debt and idle-facility costs constraining capital return capacity                                                        | Moderate         | Moderate         |
| Competitive   | Loss of relative cost position versus lower-cost South American peers as ore grades decline                                         | Low to moderate  | Moderate         |
| Technological | Limited; block-cave and processing technology is mature, but automation and electrification of haul fleets requires ongoing capital | Low              | Low              |
| Regulatory    | Further Indonesian government stake increases, royalty changes, or licence renegotiation                                            | Moderate to high | Moderate to high |
| Macro         | Global industrial slowdown reducing copper demand and price                                                                         | Moderate         | High             |
| Macro         | US dollar strength or higher real rates pressuring commodity prices generally                                                       | Moderate         | Moderate         |
| Valuation     | Multiple compression if the Grasberg recovery disappoints or copper prices retreat from 2026 highs                                  | Moderate         | High             |

#### THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE

First, a further geotechnical or safety failure at Grasberg, given the concentration of reserves and cash flow in that single underground complex. Second, an adverse change to PT Freeport Indonesia's ownership, royalty or licensing terms beyond the already-agreed 12 percentage point divestment. Third, a sustained multi-year decline in copper prices coinciding with the period of peak Grasberg redevelopment capital spending.

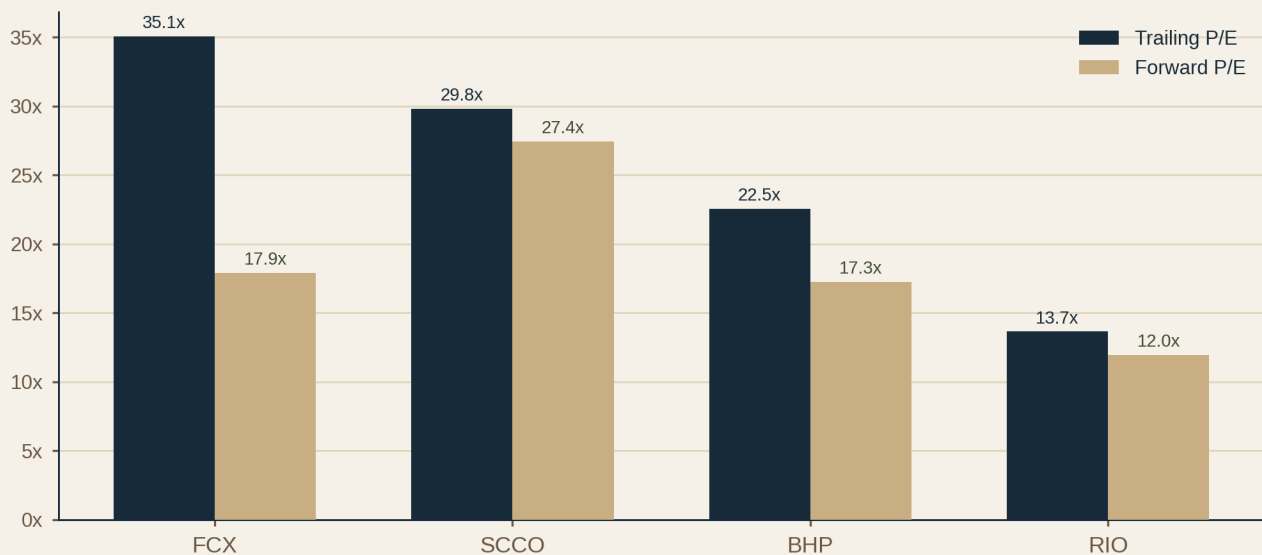
### B3. Valuation

#### TRADING MULTIPLES, CURRENT

| Multiple        | FCX   | SCCO             | BHP              | RIO              |
|-----------------|-------|------------------|------------------|------------------|
| Trailing P/E    | 35.1x | 29.8x            | 22.5x            | 13.7x            |
| Forward P/E     | 17.9x | 27.4x            | 17.3x            | 12.0x            |
| EV/EBITDA (TTM) | 11.8x | n/a <sup>1</sup> | n/a <sup>1</sup> | n/a <sup>1</sup> |
| Dividend yield  | 0.83% | 2.20%            | 3.96%            | 4.75%            |

1. Not independently retrieved for peers within this report's research window and shown as not available rather than estimated. Source: Alpha Vantage (FCX) and stockanalysis.com (SCCO, BHP, RIO), 21 September 2026.

#### Peer valuation comparison



Trailing and forward price-to-earnings multiples. Source: Alpha Vantage and stockanalysis.com, 21 September 2026.

Freeport's trailing P/E of 35 times is well above its peer set, but this reflects 2025's depressed, Grasberg-disrupted earnings base rather than a persistently premium rating: on forward estimates, which embed the anticipated 2027-2029 volume recovery, Freeport's 17.9 times forward P/E sits close to BHP's 17.3 times and below Southern Copper's 27.4 times, while Rio Tinto trades at a structural discount tied to its heavier iron-ore weighting. REASONED FROM SOURCED DATA.

Against its own history, Freeport's 52-week range of \$34.78 to \$80.24 spans more than a doubling, reflecting the scale of the Grasberg shock and subsequent recovery in sentiment; the current price sits well above the 200-day moving average of \$62.31 and close to the 50-day moving average of \$68.41, consistent with a market that has already re-rated the shares toward a recovery scenario. SOURCED (ALPHA VANTAGE).

The current valuation appears to require a reasonably clean execution of the Grasberg ramp-up (2027-2029 guidance of approximately 1.6 billion pounds of copper and 1.3 million ounces of gold annually from Grasberg alone) alongside copper prices remaining well above the 2021-2023 realised range; these embedded expectations are best characterised as **optimistic but not extremely optimistic**, since they rely on a production recovery already reflected in company guidance rather than on unguided upside. REASONED.

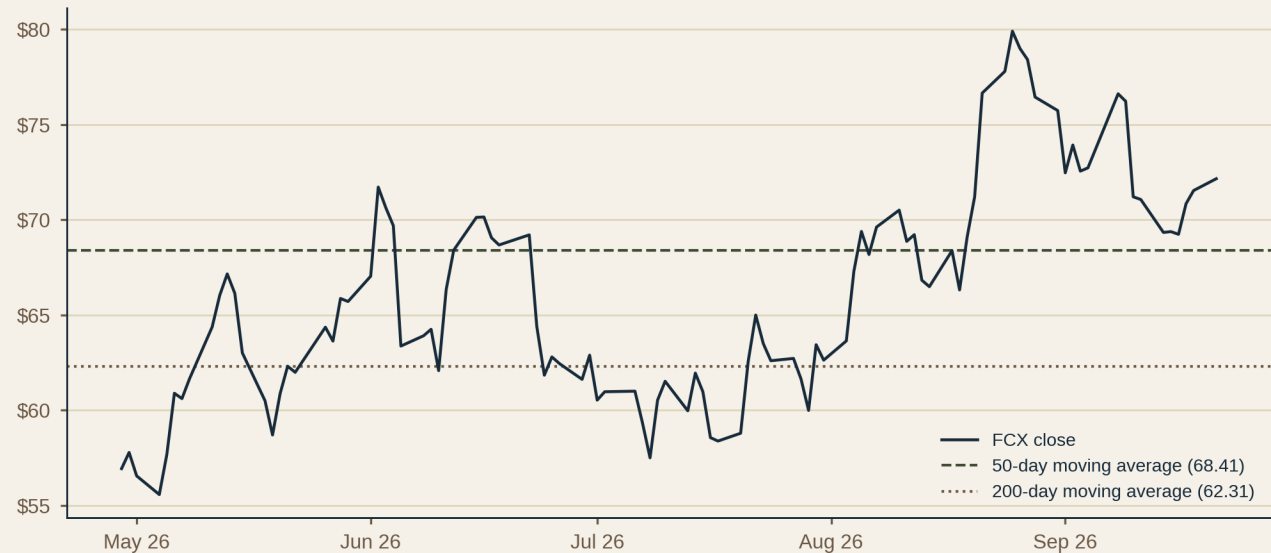
B4. Capital Market and Stock Analysis

PRICE RETURNS TO 21 SEPTEMBER 2026 (ANALYST-CALCULATED FROM DAILY CLOSES)

| Period                                    | Return        |
|-------------------------------------------|---------------|
| 1 week                                    | +4.1%         |
| 1 month                                   | -5.9%         |
| 3 months                                  | +4.3%         |
| Trailing five months (data window)        | +26.8%        |
| 6 months / YTD / 1 year / 3 year / 5 year | Not retrieved |

Calculated by the analyst from a verified 100-trading-day daily price series (29 April 2026 to 21 September 2026) sourced from Alpha Vantage. Periods extending beyond this window are marked not retrieved rather than estimated, in line with this report's data-quality standard.

Price trend with moving-average reference lines



Daily close, 29 April 2026 to 21 September 2026, with reported 50-day and 200-day moving averages. Source: Alpha Vantage.

Within the available data window, realised daily volatility annualises to approximately 50 percent, and the maximum peak-to-trough drawdown was approximately 19.8 percent, from the 2 June 2026 local high to the 8 July 2026 low, before the shares recovered sharply into late August on Grasberg restart progress and firm copper prices. CALCULATED BY THE ANALYST FROM SOURCED DAILY CLOSES. Beta versus the broader market is reported at 1.40, consistent with a high-beta cyclical commodity producer. SOURCED (ALPHA VANTAGE).

The technical structure -- price above both moving averages, in an established uptrend since the April 2026 low near \$55.57 -- is consistent with a market pricing in operational recovery; it does not, on its own, indicate whether that recovery is fairly, richly or cheaply valued, which is a separate fundamental question addressed in Section B3. REASONED. Trading volume has been elevated around Grasberg news events (notably late August and early September 2026), consistent with the stock's sensitivity to operational updates. SOURCED (ALPHA VANTAGE VOLUME DATA).

## C. Financial Statements

The following analysis covers fiscal years 2021 through 2025 (each ending 31 December), the latest period for which full audited annual figures were available at the report date, supplemented by first-half 2026 interim results where relevant. All figures are reported unless labelled as calculated, adjusted or estimated. SOURCED.

### C1. Income Statement

CONDENSED INCOME STATEMENT, \$ MILLIONS EXCEPT PER-SHARE DATA

| Line item                                      | 2021          | 2022          | 2023          | 2024   | 2025   |
|------------------------------------------------|---------------|---------------|---------------|--------|--------|
| Revenue                                        | 22,845        | 22,780        | 22,855        | 25,455 | 25,915 |
| Gross profit                                   | 10,905        | 9,710         | 9,295         | 10,067 | 9,605  |
| Operating income                               | 8,385         | 7,011         | 6,225         | 6,961  | 6,502  |
| Net income attributable to common stockholders | 4,299         | 3,461         | 1,842         | 1,883  | 2,197  |
| Diluted EPS (\$)                               | 2.90          | 2.39          | 1.28          | 1.30   | 1.52   |
| Depreciation, depletion and amortisation       | Not retrieved | Not retrieved | Not retrieved | 2,241  | 2,244  |

Source: company-reported consolidated statements of operations, as aggregated by stockanalysis.com and Alpha Vantage. Items not independently retrieved within the research window (SG&A, interest expense and income tax detail for all years, and D&A prior to 2024) are marked not retrieved rather than estimated.

Revenue was essentially flat across 2021-2023 near \$22.8 billion, then stepped up to \$25.5-25.9 billion in 2024-2025 as realised gold and molybdenum prices rose and North American volumes increased, partly offsetting a decline in unit margins. REASONED FROM REPORTED FIGURES. Operating margin fell from 36.7 percent in 2021 to 25.1 percent in 2025, a decline driven primarily by cost inflation (energy, labour and consumables), by higher depreciation on an expanding asset base, and, in 2025 specifically, by the onset of Grasberg-related idle-facility and remediation costs following the September 2025 incident. REASONED.

The gap between operating income decline (-22 percent from 2021 to 2025) and the steeper net income decline (-49 percent over the same period) indicates that below-the-line items -- interest expense, tax and minority interest attributable to the Indonesian government's share of PT-FI -- absorbed a growing share of pre-tax profit; this is consistent with rising government ownership of PT-FI's economics and higher net debt. REASONED; UNDERLYING TAX AND MINORITY-INTEREST DETAIL NOT INDEPENDENTLY RETRIEVED.

Growth in the 2024-2025 period is attributed to price and mix (particularly gold) rather than to organic volume growth, since Grasberg volumes were constrained for a large part of 2025 by the September incident, and no material acquisitions were completed in the period reviewed. REASONED.

### C2. Balance Sheet

CONDENSED BALANCE SHEET, \$ MILLIONS

| Line item            | 2021  | 2022  | 2023  | 2024  | 2025  |
|----------------------|-------|-------|-------|-------|-------|
| Cash and equivalents | 8,068 | 8,146 | 4,758 | 3,923 | 3,824 |

| Line item                          | 2021          | 2022          | 2023          | 2024          | 2025          |
|------------------------------------|---------------|---------------|---------------|---------------|---------------|
| Receivables                        | 1,742         | 1,795         | 1,664         | 1,142         | 1,663         |
| Inventory                          | 4,497         | 5,180         | 6,060         | 6,808         | 7,493         |
| Total current assets               | 14,830        | 15,613        | 14,065        | 13,296        | 13,790        |
| Property, plant and equipment, net | 30,345        | 32,627        | 35,295        | 38,514        | 40,736        |
| Total assets                       | 48,022        | 51,093        | 52,506        | 54,848        | 58,167        |
| Accounts payable                   | 2,035         | 2,701         | 2,466         | 2,789         | 2,948         |
| Total debt (current and long-term) | 9,450         | 10,620        | 9,422         | 8,948         | 9,379         |
| Total liabilities                  | 25,003        | 26,222        | 25,196        | 26,070        | 27,401        |
| <b>Total stockholders' equity</b>  | <b>23,019</b> | <b>24,871</b> | <b>27,310</b> | <b>28,778</b> | <b>30,766</b> |

Source: company-reported consolidated balance sheets, as aggregated by stockanalysis.com. No goodwill is carried on the balance sheet. Total debt calculated as the sum of the current portion of long-term debt and long-term debt.

#### BALANCE-SHEET STRENGTH RATIOS

| Metric                         | 2021  | 2022  | 2023  | 2024  | 2025  |
|--------------------------------|-------|-------|-------|-------|-------|
| Net debt, calculated (\$m)     | 1,382 | 2,474 | 4,664 | 5,025 | 5,555 |
| Equity ratio, calculated       | 47.9% | 48.7% | 52.0% | 52.5% | 52.9% |
| Working capital, sourced (\$m) | 8,938 | 9,268 | 8,250 | 7,800 | 7,771 |

Net debt and equity ratio calculated by the analyst from the reported balance-sheet figures above. Working capital as reported by stockanalysis.com; current-liability detail sufficient to independently recompute a current ratio was not retrieved within the research window, so a current ratio is not shown rather than approximated.

The balance sheet has strengthened on an equity basis, with the equity ratio rising from 47.9 percent to 52.9 percent as retained earnings have accumulated, even as net debt has risen in absolute terms to fund Grasberg redevelopment. **CALCULATED**. Net debt to trailing EBITDA of roughly 0.6 times at year-end 2025 remains moderate for a capital-intensive miner, but the trend -- more than a fourfold increase in net debt from 2021 to 2025 -- warrants monitoring, particularly given the additional idle-facility costs guided for 2026. **REASONED**. Inventory has grown faster than revenue (67 percent higher in 2025 than 2021, against 13 percent revenue growth), consistent with in-process concentrate and finished-goods build tied to the Grasberg disruption and ramp-up rather than a deterioration in underlying demand. **REASONED**. No goodwill concentration risk is present, and off-balance-sheet obligations were not identified within the sources reviewed. **NOT RETRIEVED BEYOND STANDARD FILINGS**.

## C3. Cash Flow Statement

#### CONDENSED CASH FLOW STATEMENT, \$ MILLIONS

| Line item           | 2021    | 2022    | 2023    | 2024    | 2025    |
|---------------------|---------|---------|---------|---------|---------|
| Operating cash flow | 7,715   | 5,139   | 5,279   | 7,160   | 5,610   |
| Capital expenditure | (2,115) | (3,469) | (4,824) | (4,808) | (4,494) |

| Line item                      | 2021           | 2022           | 2023           | 2024           | 2025           |
|--------------------------------|----------------|----------------|----------------|----------------|----------------|
| <b>Free cash flow</b>          | <b>5,600</b>   | <b>1,670</b>   | <b>455</b>     | <b>2,352</b>   | <b>1,116</b>   |
| Dividends paid                 | (331)          | (866)          | (863)          | (865)          | (865)          |
| Share repurchases              | (517)          | (1,402)        | (50)           | (94)           | (130)          |
| <b>Net financing cash flow</b> | <b>(1,340)</b> | <b>(1,623)</b> | <b>(2,650)</b> | <b>(3,284)</b> | <b>(1,876)</b> |

Source: company-reported consolidated statements of cash flows, as aggregated by stockanalysis.com. Free cash flow = operating cash flow less capital expenditure, calculated by the analyst.

Net income and cash generation have diverged: 2022 net income of \$3.5 billion outpaced free cash flow of \$1.7 billion as capital expenditure stepped up, while 2025 net income of \$2.2 billion compares with free cash flow of only \$1.1 billion, meaning FCF conversion of accounting earnings has been low and volatile across the period, ranging from roughly 48 percent to over 100 percent depending on the capex cycle. *CALCULATED*. Cash conversion (operating cash flow to net income) has generally exceeded 100 percent, indicating depreciation and working-capital effects are adding back to cash flow relative to reported earnings, typical for a capital-intensive miner; the exception is 2023, when working-capital build (notably inventory) absorbed cash faster than depreciation added it back. *CALCULATED / REASONED*.

Capital allocation priorities are evident in the cash-flow statement: the base dividend has been held near \$860-866 million per year since 2022 regardless of the swing in free cash flow, while buybacks have been the flexible variable, cut from \$1.4 billion in 2022 (a low-capex, high-FCF year) to under \$150 million per year since 2023 as capital expenditure absorbed a larger share of operating cash flow. *CALCULATED*.

## C4. Forecasting and Projections

Revenue projections below are built bottom-up from company-issued 2026 volume guidance (copper approximately 3.06 billion pounds, gold 654 thousand ounces, molybdenum 93 million pounds) and from company-guided 2027-2029 Grasberg-alone volumes (approximately 1.6 billion pounds of copper and 1.3 million ounces of gold per year), combined with the analyst's own assumptions for realised commodity prices, non-Grasberg volumes and cost trends. These are estimates, not company guidance beyond 2026, and are clearly distinguished as such. *REASONED / ESTIMATE*.

BASE-CASE OPERATING MODEL, 2026-2030 (ANALYST ESTIMATES, \$ MILLIONS UNLESS NOTED)

| Metric              | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  |
|---------------------|--------|--------|--------|--------|--------|
| Revenue             | 24,500 | 27,200 | 28,600 | 29,200 | 29,800 |
| EBITDA margin       | 33.5%  | 33.5%  | 33.0%  | 32.5%  | 32.0%  |
| Capital expenditure | 4,300  | 3,900  | 3,500  | 3,300  | 3,200  |

Analyst base-case estimate, not company guidance beyond fiscal 2026. Revenue growth 2026-2029 is driven by the guided Grasberg volume recovery rather than by price appreciation, which is held roughly flat to modestly declining from 2026 levels in this base case.

Margin projections assume gradual normalisation of unit cash costs as Grasberg fixed costs are spread over recovering volumes, offset by continued cost inflation in energy and labour, producing a broadly flat-to-slightly-declining EBITDA margin path rather than sharp expansion. *REASONED*. Capital expenditure is projected to decline from the current Grasberg-redevelopment peak of approximately \$4.3 billion toward a more normal sustaining level near \$3.2-3.5 billion by 2029-2030 as the block-cave ramp-up completes. *REASONED*.

## Scenario summary

| Scenario    | Key assumptions                                                                                                                                                                                                                                            |
|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull</b> | Grasberg ramp-up ahead of schedule; copper and gold prices remain near 2026 highs through the forecast; margins expand toward 36 percent as fixed costs are absorbed by higher volumes; capex declines faster than base case.                              |
| <b>Base</b> | Grasberg ramp-up proceeds per company guidance with no further incidents; commodity prices moderate modestly from 2026 highs; margins broadly stable near 32-34 percent; capex glides down as guided.                                                      |
| <b>Bear</b> | Further ramp-up delay or a renewed operational setback at Grasberg; copper prices retreat toward the 2021-2023 realised range; margins compress toward 28-30 percent on cost inflation and lower fixed-cost absorption; capex remains elevated for longer. |

## Sensitivity of value to key variables

Enterprise value in this model is most sensitive, in order, to: (1) the realised copper price assumption embedded in the revenue path, (2) the pace and completeness of the Grasberg volume recovery, (3) the discount rate (WACC) applied, and (4) the terminal growth rate. A one-percentage-point change in assumed EBITDA margin across the forecast period moves estimated enterprise value by roughly \$2.0-2.5 billion at an 8.5 percent WACC, all else equal. CALCULATED FROM THE MODEL.

## C5. Discounted Cash Flow Model

The discounted cash flow model uses the base-case revenue, margin and capital-expenditure path shown in Section C4, a normalised tax rate of 30 percent, depreciation and amortisation projected from the recent \$2.2-2.3 billion run-rate, and modest working-capital use as volumes recover. Net debt is taken at the year-end 2025 calculated figure of \$5,555 million and shares outstanding at 1,436 million. MODEL ASSUMPTIONS, ANALYST-BUILT.

### DISCOUNTED CASH FLOW ASSUMPTIONS AND BASE-CASE OUTPUT

| Assumption                                | Value               |
|-------------------------------------------|---------------------|
| Discount rate (WACC), base case           | 8.5%                |
| Terminal growth rate, base case           | 2.0%                |
| Tax rate                                  | 30%                 |
| Forecast horizon                          | 2026-2030 (5 years) |
| Implied enterprise value, base case       | \$57.4bn            |
| Implied equity value, base case           | \$51.9bn            |
| <b>Implied value per share, base case</b> | <b>\$36.10</b>      |

**DCF sensitivity: implied value per share by WACC and terminal growth**

|                      |      |                      |        |        |        |
|----------------------|------|----------------------|--------|--------|--------|
|                      |      | 1.5%                 | 2.0%   | 2.5%   | 3.0%   |
| Discount rate (WACC) | 7.5% | \$40.4               | \$43.7 | \$47.7 | \$52.6 |
|                      | 8.0% | \$36.8               | \$39.6 | \$42.9 | \$46.8 |
|                      | 8.5% | \$33.8               | \$36.1 | \$38.9 | \$42.1 |
|                      | 9.0% | \$31.2               | \$33.1 | \$35.4 | \$38.1 |
|                      | 9.5% | \$28.9               | \$30.6 | \$32.5 | \$34.8 |
|                      |      | Terminal growth rate |        |        |        |

Analyst-built five-year unlevered free cash flow model. Not a precise intrinsic value; shown as a range to illustrate sensitivity to discount-rate and terminal-growth assumptions.

Across the sensitivity grid, base-case implied per-share value ranges from approximately \$29 to \$53, and under bull and bear operating assumptions (higher or lower revenue, margin and capex paths, combined with correspondingly lower or higher discount rates) the range widens further, to approximately \$14 per share in the bear case and \$62 per share in the bull case.

CALCULATED FROM THE MODEL.

**RECONCILING THE DCF RANGE WITH THE MARKET PRICE**

The base-case and even bull-case DCF outputs sit below the 21 September 2026 closing price of \$72.16. This gap does not necessarily mean the model is right and the market is wrong, or the reverse: it indicates that the market may be assuming a higher long-run copper price, a longer or larger Grasberg-driven growth trajectory than modelled here, a lower cost of capital, or is assigning option value to additional Grasberg deep-ore and exploration potential not captured in a five-year explicit forecast. Readers should treat the DCF as one lens among several set out in this report, not as a standalone price target.

**C6. Leveraged Buyout Model**

A leveraged buyout analysis is not presented for Freeport-McMoRan. The company's Indonesian operations are held through a majority state-owned, closely regulated subsidiary with government approval rights over ownership changes, and reported net debt to EBITDA is only moderate, so the capital-structure flexibility and control assumptions that underpin a conventional LBO framework do not apply in an economically meaningful way to this asset. REASONED; THE ANALYST HAS NOT FABRICATED AN LBO ANALYSIS WHERE THE FRAMEWORK IS NOT APPLICABLE, PER THIS REPORT'S RESEARCH STANDARD.

## D. Investment Thesis

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### Bull Case

The Grasberg Block Cave ramp-up proceeds broadly on the schedule management has laid out, restoring company-guided volumes of approximately 1.6 billion pounds of copper and 1.3 million ounces of gold per year from Grasberg alone by 2027-2029, without further safety or geotechnical incidents. Copper and gold prices remain at or near 2026 levels as electrification and data-centre demand outpace new mine supply, lifting realised prices across all three metals. Idle-facility costs roll off faster than guided as the underground mine reaches full production, capital expenditure declines toward a sustaining level below \$3.5 billion, and free cash flow expands sharply, supporting a resumption of larger buybacks and net debt reduction. Under these conditions, per-share value could approach the upper end of the sensitivity range shown in Section C5, near \$60 or above.

### Bear Case

A further geotechnical, safety or regulatory setback delays the Grasberg ramp-up beyond 2027, extending the idle-facility cost drag and pushing capital expenditure higher for longer. Copper and gold prices retreat from 2026 highs toward the 2021-2023 realised range as global industrial demand slows or supply responds to elevated prices, compressing margins at the same time volumes remain below normalised levels. Net debt continues to rise, constraining capital returns, and further Indonesian government stake increases or licensing changes reduce Freeport's economic share of PT-FI's cash flow. Under these conditions, per-share value could fall toward the lower end of the sensitivity range shown in Section C5, near \$14, and the current market price would prove to have anticipated a recovery that did not materialise.

### Base Case

Grasberg ramps up through 2026-2027 substantially in line with current company guidance, with no major new incidents but with normal execution variability. Copper and gold prices moderate modestly from 2026 highs but remain well above the 2021-2023 range, consistent with a structurally tighter, not necessarily permanently elevated, copper market. Margins stabilise near 32-34 percent as fixed-cost absorption improves with volume but cost inflation persists, and capital expenditure declines gradually toward \$3.2-3.5 billion by 2029-2030. Net debt peaks in 2026-2027 before beginning to decline as free cash flow recovers.

### Catalysts

- Quarterly production updates on the Grasberg Block Cave ramp-up, particularly any deviation from the 2026-2027 volume trajectory
- Copper, gold and molybdenum price movements, which flow through to realised revenue with limited lag
- Finalisation of the additional 12 percentage point PT-FI divestment to the Indonesian government and any associated licence-extension terms
- Quarterly earnings releases, with particular attention to unit cash costs and idle-facility cost run-rate
- Capital-allocation decisions (dividend and buyback pace) as free cash flow recovers

## Things to Monitor

| Metric or event                            | Why it matters                                                           | Positive signal                                               | Negative signal                                             |
|--------------------------------------------|--------------------------------------------------------------------------|---------------------------------------------------------------|-------------------------------------------------------------|
| Grasberg Block Cave production volumes     | Direct driver of consolidated revenue and margin recovery                | Volumes tracking at or above 2026-2027 guidance               | Renewed delays or downward guidance revisions               |
| Unit net cash costs per pound              | Determines margin at any given copper price                              | Costs trending toward or below the guided \$1.90 per pound    | Sustained costs materially above guidance                   |
| Idle-facility and remediation costs        | Direct drag on reported earnings and cash flow tied to the 2025 incident | Costs declining faster than the guided \$1.2 billion for 2026 | Costs persisting or rising into 2027                        |
| Net debt and leverage                      | Determines capacity for dividends and buybacks                           | Net debt peaking and beginning to decline                     | Continued net debt growth beyond the Grasberg capital cycle |
| PT-FI ownership and licensing developments | Affects Freeport's economic share of Indonesian cash flow                | Licence extension finalised on the terms currently disclosed  | Further unplanned dilution or adverse fiscal terms          |
| Copper and gold price trend                | Single largest driver of revenue and valuation                           | Prices holding near or above 2026 levels                      | A sustained correction toward the 2021-2023 realised range  |

## E. Final Investment Framework

|                                       |                                                                                                                                                                                                                                                                                                                                 |
|---------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>BUSINESS QUALITY</b>               | High reserve and asset quality anchored by one of the largest copper-gold ore bodies in the world, offset by concentration risk in a single underground complex.                                                                                                                                                                |
| <b>FINANCIAL QUALITY</b>              | Adequate; moderate leverage (calculated net debt to trailing EBITDA near 0.6 times) but volatile free cash flow and declining margins since 2021.                                                                                                                                                                               |
| <b>COMPETITIVE POSITION</b>           | Strong on scale and reserve grade versus listed peers; average on unit cost position versus the lowest-cost South American producers.                                                                                                                                                                                           |
| <b>MANAGEMENT</b>                     | Continuity-focused leadership transition to a long-tenured former CFO; capital-allocation discipline evident in a stable base dividend and flexible buyback policy, currently tested by the Grasberg recovery.                                                                                                                  |
| <b>INDUSTRY</b>                       | Mature and cyclical, presently in a structurally tightening phase driven by electrification and data-centre demand against constrained new supply.                                                                                                                                                                              |
| <b>VALUATION</b>                      | Trailing multiples are elevated on a depressed 2025 earnings base; forward multiples sit closer to peer levels; the analyst's base-case discounted cash flow range sits below the current market price.                                                                                                                         |
| <b>TECHNICAL AND MARKET STRUCTURE</b> | High-beta, high-volatility stock in an established uptrend since the April 2026 low, trading above both its 50-day and 200-day moving averages.                                                                                                                                                                                 |
| <b>PRINCIPAL RISK</b>                 | A further geotechnical or safety incident at the Grasberg Block Cave underground mine.                                                                                                                                                                                                                                          |
| <b>PRINCIPAL CATALYST</b>             | Confirmation that Grasberg volumes are tracking the 2026-2027 restart and ramp-up guidance.                                                                                                                                                                                                                                     |
| <b>KEY VARIABLE</b>                   | The pace and completeness of the Grasberg Block Cave production recovery, which dominates both the earnings trajectory and the valuation sensitivity shown in this report.                                                                                                                                                      |
| <b>THESIS INVALIDATION</b>            | The investment thesis would become materially weaker if Grasberg volumes fail to reach company-guided 2027-2029 levels, if a further safety or geotechnical incident occurs at the site, or if copper prices retreat sustainably toward the 2021-2023 realised range while capital expenditure remains at or above 2026 levels. |

## F. Data Table

Current-period figures use trailing-twelve-month or spot market data as of 21 September 2026 for market and valuation items, and fiscal year 2025 (the latest full audited year) for financial-statement items; the basis is noted per row. Items not independently retrieved within the research window are shown as such rather than estimated.

### STANDARDISED COMPANY SNAPSHOT

| Category      | Metric                            | Current                              |                           | Prior Year                              | 5-Year Trend                             |
|---------------|-----------------------------------|--------------------------------------|---------------------------|-----------------------------------------|------------------------------------------|
| Market        | Market capitalisation             | \$103.6bn (TTM)                      |                           | Not retrieved                           | Rising with 2026 price recovery          |
| Market        | Enterprise value, calculated      | \$108.9bn                            |                           | Not retrieved                           | N/A                                      |
| Market        | Share price                       | \$72.16                              | \$69.21 (3 months prior)  |                                         | 52-week range \$34.78-\$80.24            |
| Growth        | Revenue growth, YoY               | 1.8% (FY2025)                        |                           | 11.4% (FY2024)                          | 3.2% CAGR, 2021-2025                     |
| Profitability | Gross margin                      | 37.1% (FY2025)                       |                           | 39.6% (FY2024)                          | Declining from 47.7% (2021)              |
| Profitability | Operating margin                  | 25.1% (FY2025)                       |                           | 27.4% (FY2024)                          | Declining from 36.7% (2021)              |
| Profitability | Net margin                        | 8.5% (FY2025)                        |                           | 7.4% (FY2024)                           | Compressed since 2021, stabilising       |
| Profitability | Return on equity                  | 14.8% (TTM)                          | 7.4% (FY2025, calculated) |                                         | Recovering after multi-year decline      |
| Profitability | Return on invested capital        | Not retrieved                        |                           | Not retrieved                           | Not retrieved                            |
| Cash Flow     | Operating cash flow               | \$5.61bn (FY2025)                    |                           | \$7.16bn (FY2024)                       | Volatile; 2026 guidance \$8.3bn          |
| Cash Flow     | Free cash flow, calculated        | \$1.12bn (FY2025)                    |                           | \$2.35bn (FY2024)                       | Compressed by elevated capex since 2022  |
| Leverage      | Net debt / EBITDA, calculated     | 0.58x (FY2025 net debt / TTM EBITDA) |                           | 0.55x (FY2024 net debt / FY2024 EBITDA) | Gradually rising from near zero in 2021  |
| Valuation     | P/E                               | 35.1x (TTM)                          |                           | Not retrieved                           | Elevated on depressed 2025 earnings base |
| Valuation     | EV/EBITDA                         | 11.8x (TTM)                          |                           | Not retrieved                           | N/A                                      |
| Valuation     | P/FCF, calculated                 | 92.9x (FY2025 basis)                 |                           | Not retrieved                           | Distorted by 2025 FCF trough             |
| Market        | Beta                              | 1.40                                 |                           | Not retrieved                           | N/A                                      |
| Market        | Annualised volatility, calculated | ~50% (data window)                   |                           | Not retrieved                           | N/A                                      |
| Market        | Maximum drawdown, calculated      | -19.8% (Jun-Jul 2026)                |                           | Not retrieved                           | N/A                                      |

Sources: Alpha Vantage (market capitalisation, P/E, EV/EBITDA, beta, price series); company-reported financial statements as aggregated by stockanalysis.com (income statement, cash flow, balance sheet); analyst calculations for enterprise value, free cash flow, net debt, net debt/EBITDA, P/FCF, volatility and drawdown.

## G. Sources and Methodology

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All market data, financial statement figures and qualitative claims in this report were verified against the sources listed below as of the report date. Metrics calculated by the analyst rather than directly reported are identified throughout the text and tables as calculated, and estimates or scenario assumptions are identified as reasoned or estimated. Where a figure could not be independently verified within the research window, it is marked not retrieved rather than approximated.

### Primary Sources

**Freeport-McMoRan Inc.** -- Corporate overview and operating segments.

[fcx.com/about](https://fcx.com/about), accessed 22 September 2026. Used for: business description, operating segments, Grasberg district description.

**Freeport-McMoRan Inc. (SEC filing aggregator)** -- Second quarter 2026 Form 10-Q results summary.

[stocktitan.net/sec-filings/FCX/10-q-freeport-mcmoran-inc-quarterly-earnings-report-336771367c56.html](https://stocktitan.net/sec-filings/FCX/10-q-freeport-mcmoran-inc-quarterly-earnings-report-336771367c56.html), accessed 22 September 2026. Used for: Q2 2026 revenue, net income, production volumes, realised prices, unit costs and 2026 full-year guidance.

### Secondary Sources

**MINING.COM** -- Coverage of the Grasberg restart timeline and 2026 production guidance following the September 2025 incident.

[mining.com/freeport-plans-to-restart-large-scale-production-at-grasberg-in-q2-2026/](https://mining.com/freeport-plans-to-restart-large-scale-production-at-grasberg-in-q2-2026/), accessed 22 September 2026. Used for: Grasberg incident summary, force majeure, restart timeline, revised production guidance.

**Wikipedia** -- Freeport-McMoRan corporate history and PT Freeport Indonesia ownership background.

[en.wikipedia.org/wiki/Freeport-McMoRan](https://en.wikipedia.org/wiki/Freeport-McMoRan), accessed 22 September 2026. Used for: corporate history, 2007 Phelps Dodge acquisition, 2018 PT-FI ownership restructuring, Grasberg mine background.

**Petromindo** -- Reporting on the 2025-2026 agreement for Freeport to divest a further 12 percent of PT-FI to the Indonesian government.

[petromindo.com/news/article/danantara-confirms-freeport-will-divest-12-stake-in-ptfi-free-of-charge](https://petromindo.com/news/article/danantara-confirms-freeport-will-divest-12-stake-in-ptfi-free-of-charge), accessed 22 September 2026. Used for: current and prospective PT-FI ownership percentages, licence-extension terms.

**KoalaGains** -- Competitive analysis and comparison data for Freeport-McMoRan and listed mining peers.

[koalagains.com/stocks/NYSE/FCX/competition](https://koalagains.com/stocks/NYSE/FCX/competition), accessed 22 September 2026. Used for: identification of the peer competitive set and qualitative positioning.

### Market Data

**Alpha Vantage** -- Company fundamental overview, daily price series and trading statistics for FCX.

[www.alphavantage.co](https://www.alphavantage.co), data retrieved 22 September 2026. Used for: market capitalisation, P/E, forward P/E, EV/EBITDA, EV/Revenue, beta, 50-day and 200-day moving averages, 52-week range, dividend data, and the 29 April - 21 September 2026 daily closing price series underlying all price charts and technical calculations in this report.

**stockanalysis.com** -- Historical annual income statement, balance sheet and cash flow statement for FCX, and current trading snapshots for FCX, Southern Copper (SCCO), BHP Group (BHP) and Rio Tinto (RIO).

[stockanalysis.com/stocks/fcx/](https://stockanalysis.com/stocks/fcx/), [financials/](https://stockanalysis.com/stocks/fcx/financials/), [financials/balance-sheet/](https://stockanalysis.com/stocks/fcx/financials/balance-sheet/), [financials/cash-flow-statement/](https://stockanalysis.com/stocks/fcx/financials/cash-flow-statement/); [stockanalysis.com/stocks/scco/](https://stockanalysis.com/stocks/scco/), [financials/](https://stockanalysis.com/stocks/scco/financials/), [financials/balance-sheet/](https://stockanalysis.com/stocks/scco/financials/balance-sheet/), [financials/cash-flow-statement/](https://stockanalysis.com/stocks/scco/financials/cash-flow-statement/); [stockanalysis.com/stocks/bhp/](https://stockanalysis.com/stocks/bhp/), [financials/](https://stockanalysis.com/stocks/bhp/financials/), [financials/balance-sheet/](https://stockanalysis.com/stocks/bhp/financials/balance-sheet/), [financials/cash-flow-statement/](https://stockanalysis.com/stocks/bhp/financials/cash-flow-statement/); [stockanalysis.com/stocks/rio/](https://stockanalysis.com/stocks/rio/), [financials/](https://stockanalysis.com/stocks/rio/financials/), [financials/balance-sheet/](https://stockanalysis.com/stocks/rio/financials/balance-sheet/), [financials/cash-flow-statement/](https://stockanalysis.com/stocks/rio/financials/cash-flow-statement/), accessed 22 September 2026. Used for: fiscal 2021-2025 income statement, balance sheet and cash flow figures; peer valuation multiples.

### Calculations

#### Analyst calculations

Derived from the primary and market-data sources above. Includes: net debt and net debt/EBITDA (total debt less cash and equivalents), free cash flow (operating cash flow less capital expenditure), equity ratio, revenue and FCF CAGR, price returns and maximum drawdown over the verified data window, annualised volatility, the FY2026E revenue-by-metal estimate, the five-year operating forecast and discounted cash flow model in Section C, and the price-to-free-cash-flow multiple.

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